BITTER HARVEST

Retail investors piled into the unlisted market's favourite stock. Regret followed

By Tanmay Hardikar

NSE's listing was so underwhelming that it has shaken faith even in safe-sounding names that are next in line to list, like Zepto and OYO

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Read Summary

- NSE listed at just above its Rs 1,785 issue price but it was still less than what many retail investors had paid in the unlisted market
- Most of the retail shareholders arrived between April and June 2025, when their number jumped from about 34,000 to 150,000
- NSE is the latest, and so far biggest, in a series of unlisted market favourites that have let retail down, following Reliance Retail, HDB Financial, Tata Capital, and SBI Funds Management
- With NSE gone, the unlisted market has lost its most liquid stock. And its underwhelming listing has cooled the demand for unlisted shares of other major companies

After almost 10 years of waiting, the National Stock Exchange finally listed on 24 September. It underwhelmed.

Institutions bid for 13X the shares on offer to them, retail buyers 1.4X, and HNIs 6.5X, and the stock opened at Rs 1,800, just above its issue price of Rs 1,785. Yet, many shareholders already knew they wouldn't make money.

That's because they had paid more than Rs 1,785 for NSE in the unlisted market. In a frenzy between April and June 2025, retail shareholders soared in number from 34,000 to about 150,000, while the price rose from Rs 1,600 to over Rs 2,200. Nearly 70,000 of them bought too late to sell in the IPO, becoming locked in until March 2027 due to Sebi's six-month lock-in period for pre-IPO investors. Now the shares are trading at Rs 1,695.

India's most hyped unlisted stock flattered to deceive.

And the impact is already cascading through the unlisted market, less than a month on. Wealth managers say interest in unlisted shares has cooled.

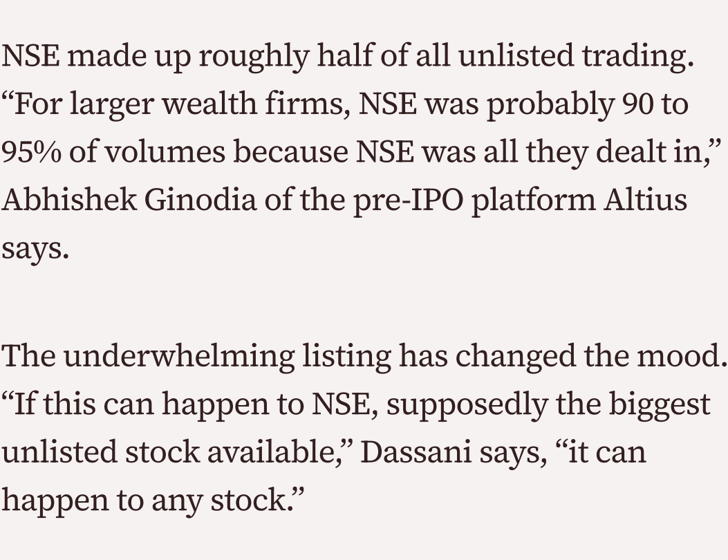
Amit Dassani, founder of Clay Financial Services, says demand "has gone down quite a lot". Abhay Agarwal, of Piper Serica Advisors, has seen "a remarkable drop in activity" because investors no longer see unlisted stock as a get-rich-quick IPO play.

The NSE listing has shaken faith even in safe-sounding names, like the quick-commerce company Zepto and the hospitality chain Oyo.

More worryingly, it has confirmed a trend. HDB Financial, Tata Capital, and SBI Funds Management all listed below what many, mostly retail, buyers had paid. Reliance Retail didn't list at all, and bought out small shareholders for Rs 1,362 per share, far below the almost Rs 4,000 it once traded at. In August 2025, *The Ken* asked whether NSE would be next. It was. And it's the biggest yet.

Still, despite all the money lost, the unlisted market sits largely outside Sebi's rulebook. The regulator's chief, Tuhin Kanta Pandey, spoke last year about setting up a regulated platform for pre-IPO trading.

While that materialises, if ever, retail buyers who see the unlisted market as a shortcut to IPO gains should read the NSE listing as a cautionary tale.



Unlisted price peaked at Rs 2,250, IPO price was Rs 1,800, and the latest price is Rs 1,695

Graphic by Sakshi M, 22 Oct '26

Source: The Ken research

Shock to the system

NSE mattered so much because it was the one stock in the unlisted market that never ran dry.

"If you wanted 1,000 shares of NSE or 100,000, there was always a buyer and a seller," says Umesh Paliwal, co-founder of the unlisted shares platform Unlisted Zone.

NSE made up roughly half of all unlisted trading. "For larger wealth firms, NSE was probably 90 to 95% of volumes because NSE was all they dealt in," Abhishek Ginodia of the pre-IPO platform Altius says.

The underwhelming listing has changed the mood. "If this can happen to NSE, supposedly the biggest unlisted stock available," Dassani says, "it can happen to any stock."

The listed market has played some part in the drop in volumes and liquidity. Nifty fell for eight straight weeks to 1 October, its longest losing streak in 25 years, and that kept buyers away. "If your portfolio is 30% down, you're in no state to invest anywhere else," says Ginodia.

Even so, the waning outlook for companies next in line to list suggests that the problem goes beyond market sentiment. Zepto and Oyo have put off their IPOs. While their shares are still trading in steady volumes, prices are falling. Oyo is down 8%, nearly as much as Inox Clean Energy, which is eyeing a Rs 10,000-crore IPO. The financial company Hero Fincorp has lost more than 30% over the past year, and the electronics brand boat 41%. Of the 80 stocks with a one-year return, 57 have been negative.

But even if their prices recover, none of these companies can take NSE's place.

What made NSE special was that its shares were available in any size, at any time. Only 11 unlisted companies are currently valued at over Rs 25,000 crore and their stock is held mostly by promoters and early investors, so there are few shares to go around. "I don't think any stock today can match NSE's liquidity or volumes," Doshi says.

In other words, there isn't another NSE in the unlisted market, at least for now.

That hasn't stopped brokers from hunting for the next big story. The Metropolitan Stock Exchange, better known as MSEI, Dassani says by way of an example, is currently selling like "hot cakes". Its stock price has increased by 108% over the past year, although it has dropped by around 3% in the past week.

And since brokers are selling the next NSE, buyers may not stay away for long.

"Investors in this market chase whatever has made money in the past six months to a year," says Agarwal.

Right now, the unlisted market has nothing to show. That can change quickly, though. One big funding round, a favourable news report, or a rumor of an enterprise going public could be enough to bring back the crowd.

NSE offers an expensive lesson not to fall for hype. But Mangesh Zope, founder of the advisory firm Peaceful Loans who learnt the hard way with the Reliance Retail debacle, isn't holding out hope. "There's no medicine for greed," he says.

Late to the party

NSE's shareholders fall broadly into two groups. The first got in over the years when buying NSE was slow, expensive, and meant mostly for the wealthy. A deal meant buying 1,000–5,000 shares at a time, waiting three to six months for NSE to approve the transfer, and trusting the seller to deliver, Manan Doshi, co-founder of unlisted shares platform, Unlisted Arena, says.

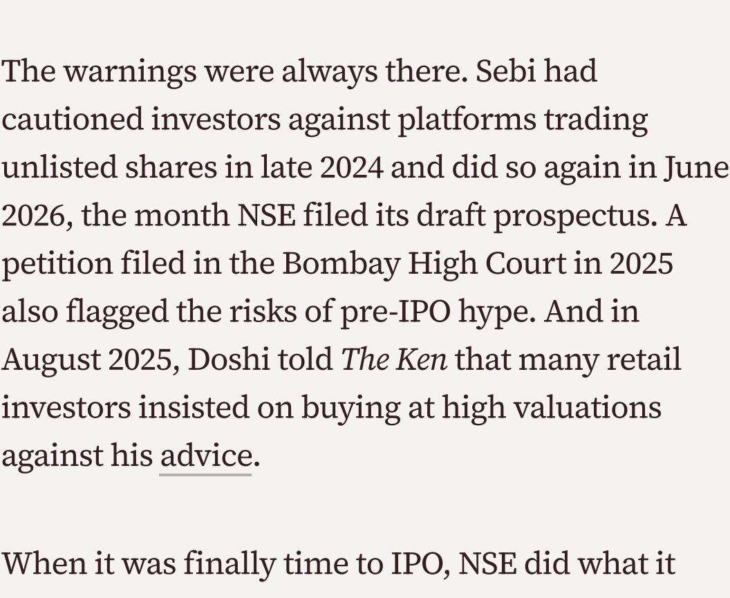
Investors who put up with the cumbersome process did rather well. Ginodia says his earliest clients paid about Rs 200 per share before 2020 and booked 20% returns from the dividend of about Rs 45 a share in 2025 alone, in addition to gains from the increased stock price.

The second group came in after March 2025, when NSE made its shares easier to buy. It moved transfers onto the depository CDSL ⓘ cutting the wait from months to days, and enabled platforms to break large lots into smaller tranches that could be bought for as little as Rs 10,000–25,000. Then came the news that NSE's long-stalled IPO had cleared its last regulatory hurdles and small investors rushed in. Most had never bought unlisted stock before, says Doshi. Many had tried and failed to buy shares in popular IPOs, mainly due to excessive demand and oversubscription. Paliwal notes that demat accounts in India have grown 6X to almost 24 crore over the past six years. And with so many applying, few small investors get an IPO allotment.

To them, the unlisted market looks like a back door. "They think, 'We don't get shares in the IPO, so let's buy them in the unlisted market,'" he says.

Many act on headlines rather than research. "Retail investors trade on news," he argues. "HNIs and institutions trade on research."

In NSE's case, the news-driven buying happened when prices were at their highest. On 27 May 2025, the company's unlisted price jumped 27% in a single day to Rs 2,250 and, according to Doshi, the buying carried on into 2026, at prices between Rs 1,800 and Rs 2,000.



Graphic by Sakshi M, 22 Oct '26

Source: NSE India

Brokers fed the rush. "When IPO dates are announced and there's a rush, brokers play on investors' emotions and create FOMO ⓘ," says Piyush Agarwal, founder of the unlisted sharebroker Finvoq. When NSE was quoting at about Rs 1,925, he says, sub-brokers sold tranches of 50–100 shares to small buyers at Rs 2,050–2,100, pocketing sizeable profits.

The warnings were always there. Sebi had cautioned investors against platforms trading unlisted shares in late 2024 and did so again in June 2026, the month NSE filed its draft prospectus. A petition filed in the Bombay High Court in 2025 also flagged the risks of pre-IPO hype. And in August 2025, Doshi told *The Ken* that many retail investors insisted on buying at high valuations against his advice.

When it was finally time to IPO, NSE did what it needed to do to see the issue through. Tough market conditions saw it cut the total issue size to Rs 22,570 crore from Rs 30,000 crore, and set a price to entice decent institutional buying. Turned out, this price was much lower than what the stock had last fetched in the unlisted market, leaving thousands of mostly retail investors trapped.

NSE found the market was tough and informed investors weren't ready to buy at unlisted prices, so it essentially priced the IPO for institutions that came in as anchor investors ⓘ. It simply couldn't price its shares at unlisted-market rates.

At Rs 1,800, the stock was already trading at over 40X earnings. But retail buyers hadn't done the math. Sachin Jain, vice president at the wealth management firm Trigen Wealth, argues that "retail investors don't do the calculations people like us do, on valuation, PE multiples, and so on".

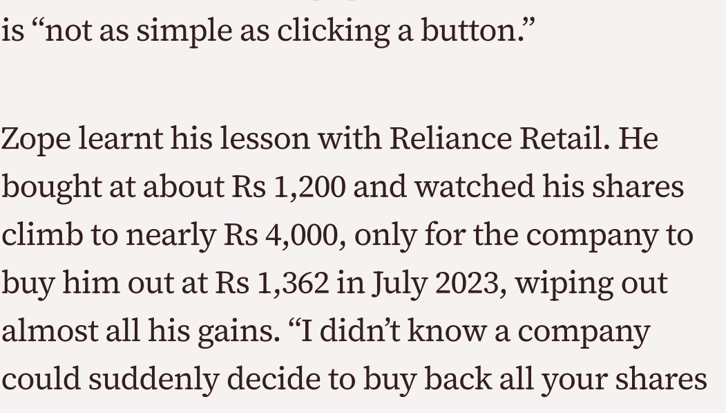
"They get caught up in FOMO," he says, "and buy at whatever price they get."

Not surprisingly, the stock has gone nowhere since the listing. It fell below the issue price within four days, and has lately been trading at about Rs 1,695. "You buy at Rs 2,100 about 10 days before the IPO, then the IPO comes in at Rs 1,800," Dassani says. "That's not a great story, obviously."

Many late buyers couldn't get out even through the IPO, because only shareholders who had held for at least a year before NSE filed its draft prospectus on 17 June could sell. Their losses are still only on paper, but the investors who came late to the party stand disappointed.

Caught on the hop

The unlisted market is a tough place to make money. There's no exchange, no screen showing a fair price, and no easy way out. Buyers must work out what a company is worth with little information, pay whatever price the broker quotes, and wait, sometimes for years, for a listing that may never come. Only a handful usually get it right. These are the informed investors who properly evaluate such details as a company's growth, valuation, and liquidity for exit. NSE's earliest shareholders got it right mainly because they got in when it was cheap and held on. Most of those who came in later, hoping for a quick gain on listing day, have walked away poorer.



Graphic by Sakshi M, 22 Oct '26

Source: The Ken research

One investor, who asked not to be named, learnt a chastening lesson. He applied for IPOs but rarely got allotments, until a friend told him about a platform where he could start with as little as Rs 10,000. In early 2025, he bought Apollo Green Energy at about Rs 400 a share.

"I invested because I liked the sector, and the news was that the IPO would come very soon," he says. The IPO never came, and his shares are now trading at under Rs 100. Selling them off isn't easy either. It takes a lot of paperwork and, in his words, is "not as simple as clicking a button."

Zope learnt his lesson with Reliance Retail. He bought at about Rs 1,200 and watched his shares climb to nearly Rs 4,000, only for the company to buy him out at Rs 1,362 in July 2023, wiping out almost all his gains. "I didn't know a company could suddenly decide to buy back all your shares at whatever price it likes," he says.

That's one of the main issues with the unlisted market. The average retail investor isn't well-versed with the space and the risks it entails. A few success stories are enough for them to take the plunge, only to find the waters can be treacherous. And it costs quite a lot of money.

Yet, since 2016, Sebi has only ever issued warnings, three of them to be precise, about platforms for unlisted shares. The 2025 petition filed in the Bombay High Court wanted trading in unlisted shares to stop once the company announced an IPO but it was withdrawn, with the court leaving the petitioner free to take the matter to Sebi instead.

In any case, few people in the market expect Sebi to act any time soon. Agarwal of Piper Serica doesn't see the regulator stepping in, not least because of how the market operates.

"A bad investment decision can't be called fraud," he says. "If it could, the whole futures and options market would have been shut down."

Zope puts it more simply. "Shutting the casino doesn't stop the gambling," he argues. "You can only learn from someone else's mistakes."

Edited by Mehraj D Lone

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NOTES

CDSL — Central Depository Services Limited (CDSL) is one of India's two government-registered securities depositories

FOMO — Fear of missing out

anchor investors — Anchors put in large sums before an issue opens and buy on valuation, so they need room to make money after the listing